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ARU transaction and accounting model

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The buyer is Sable Harbor Industrial Holdings, Inc. The January 7, 2026 transaction acquires all ARU stock. It is not a statutory merger. Four fictional eligible individual sellers participate: Fred Tolman 60%, Adele Tolman 20%, Nora Ashcombe 10% and Seth Kettering 10%. There is one identical economic class of common stock; no rollover and no earn-out. The current tax memorandum governs the conditional S corporation/QSub/section 338(h)(10) analysis. A source field expressing eligibility is not a government filing, IRS acceptance or legal opinion.

December 31, 2025 baseline

The historical synthetic opening trial balance has \$1.5M cash, \$5.4M receivables, \$1.6M inventory, \$0.65M prepaids, \$22M net owned PPE, \$3M net finance-lease ROU assets, and explicitly identified liabilities and equity. The \$5M contributed capital and \$6.05M prior retained earnings are model opening balances. They are not current-period income.

Monthly contracts generate \$42M revenue. Payroll and external cost schedules generate \$32.2M operating expense before depreciation. Shared-service charges and recoveries net to zero within the group. The full year therefore produces \$9.8M EBITDA, \$3.1M depreciation, \$1.005M interest and \$5.695M synthetic net income. Preclose income is modeled in the eligible S corporation/QSub structure without an entity-level income-tax charge; shareholder taxes are outside these corporate books.

Cash from operations is \$8.695M. After \$3.3M sustaining capital and \$1.5M principal payments, the declared \$1.895M ordinary surplus-cash distribution leaves \$3.5M cash. The dividend is an explicit financing policy, not an unexplained income-statement plug. Closing assets are \$37.2M, liabilities \$22.35M and equity \$14.85M. The trial balance and every underlying journal balance independently.

Closing stub and working capital

The management/economic closing bridge covers January 1–6, before contractual control at January 7 midnight. It does not purport to define a federal tax short period or change the acquisition date. January contract seasonality and the 2026 price/cost assumptions produce a small winter loss. The source explicitly models cash settlement of stub trading, replacement capital equal to stub depreciation, and a seller cash contribution sufficient to maintain the agreed closing cash. This contribution is disclosed separately from transaction proceeds. No ordinary profit distribution is modeled when the stub is loss-making.

The \$4.5M working-capital peg is \$6M receivables + \$1.8M inventory + \$0.7M prepaids – \$3M trade payables – \$1M operating accruals. Cash, debt, leases, tax balances, environment reserve and the larger claim reserve are excluded. The selected closing case has zero true-up; the agreement retains the dollar-for-dollar mechanism. A different operating stub or closing measurement must move the price true-up and financing transparently, rather than being suppressed to preserve a presentation subtotal.

Sources and uses

Enterprise value	\$62,000,000
Less gross preclose financial debt	(16,000,000)
Plus preclose cash	3,500,000
Total seller equity value	49,500,000
Less separately distributed excess cash	(1,500,000)
Buyer-funded stock consideration	48,000,000
cash directly to sellers	45,000,000
escrow	3,000,000
Existing term and revolver refinancing	13,500,000
Buyer closing uses before fees	61,500,000
new acquisition debt	22,500,000
parent equity before fees	39,000,000

The \$22.5M new term loan is modeled in ARU. It repays \$13.5M of old term/revolver borrowings; the remaining \$9M is an explicitly recorded upstream acquisition-financing transfer to the buyer. This financing transfer explains how \$39M parent cash plus \$9M target financing pays \$48M stock consideration. It is neither revenue nor additional seller consideration. Retained \$2.5M finance leases remain on the acquired balance sheet.

Additional parent cash is \$0.9M for transaction services, expensed at the buyer, and \$0.3M for debt issuance costs in ARU. Debt issuance costs reduce the carrying amount of term debt and amortize over the disclosed 60-month model term. Total parent acquisition cash including these fees is \$40.2M. Cash borrowing, debt carrying value and enterprise-value debt bridges are separate measures.

Purchase price allocation

The selected synthetic PPA raises net owned PPE from \$22.7M to \$42M: \$8M land, \$15M track/bridges/culverts, \$12M terminals/warehouses and \$7M locomotives/trucks/equipment. Depreciable lives are 30, 20 and 7 years respectively; land is not depreciated. These are derived model allocations, not independent valuations.

After distributing \$1.5M excess cash, book net assets are \$13.35M. The \$19.3M PPE step-up and \$587,500 deferred tax asset yield \$33,237,500 fair identifiable net assets before refinancing. The \$48M stock price therefore produces **\$14,762,500 residual goodwill**. This is legitimate PPA residual accounting; goodwill is never used as operating revenue, a cash source or an unsupported balancing operating expense.

The \$587,500 DTA represents the \$1.75M environmental accrual and \$0.6M claim accrual at the 25% synthetic tax scenario rate. These assumed liabilities have no current deduction or included acquisition tax basis before the modeled economic-performance condition is met. Future settlement may increase deemed-acquisition asset basis recoverable through later amortization; the model does not promise an immediate full deduction. Positive forecast income supports the conditional full realization assumption. No 2026 ARU reserve settlement or DTA reversal occurs. A later settlement requires a redetermined allocation and deduction schedule. The distinction between liability assumption and later recognition in purchaser basis is supported by the [IRS 2004-42 bulletin](#) and [IRS 2007-41 bulletin](#). The specific accounting DTA judgment remains a disclosed model assumption.

Tax goodwill is derived independently from the book PPA. The synthetic adjusted grossed-up basis is \$48M stock basis + \$20M recognized assumed liabilities = \$68M. The \$20M comprises \$3M payables, \$1M operating accruals, \$13.5M term/revolver debt and \$2.5M leases; the \$2.35M environmental/claim reserves are excluded at acquisition. Other tax asset bases total \$55M: cash \$2M, net receivables \$6M, inventory \$1.8M, prepaids \$0.7M, owned PPE \$42M and modeled tax-owned finance-lease assets \$2.5M. **Tax goodwill is therefore \$13M.** The assumed net receivable basis, tax ownership of leased property and zero additional buyer-cost allocation are conditional classifications, separately identified in the source. Parent transaction-cost tax treatment is outside this group forecast.

Book goodwill exceeds the opening tax basis by \$1,762,500: \$2.35M deferred assumed liabilities less the \$587,500 reserve DTA. The case separately identifies that initial component and recognizes no opening goodwill DTL under its conditional initial-recognition treatment. This is an explicit accounting judgment, not a claim of an audited FASB conclusion. It does not suppress the subsequent temporary difference caused by tax amortization.

Qualifying acquired goodwill is amortized for tax over 180 months beginning with the acquisition month; the continuing business is already operating. This treatment follows the [IRS 2025 Form 4562 instructions, Part VI, section 197 intangibles](#). Book goodwill is not amortized in this scenario. Twelve months on the independent \$13M tax basis produce an \$866,667 deduction, \$12,133,333 closing tax basis and a distinct \$216,667 DTL at the modeled 25% rate. The reserve DTA remains separately visible.

The tax rollforward applies cumulative annual taxable income, so early monthly losses offset later income. It recognizes a temporary tax-loss DTA while cumulative taxable income is negative, supported by the positive full-year forecast, and reverses it as the loss is used. Annual book pretax income is \$4,121,637; modeled taxable income is \$3,254,970, current tax expense is \$813,743 and deferred tax expense is \$216,667. Total tax is \$1,030,410, within whole-dollar rounding of 25% of book pretax income. Quarterly cash settlements total \$813,743 and the year-end current tax settlement balance is zero. Any interim overpayment remains a receivable; the builder does not invent an immediate refund. Quarter-end payments are an explicit model cash convention, not a claim about statutory installment dates or return amounts. An annual tax-loss case requires a reworked DTA realization assessment. The opening allocation and monthly basis/expense/payment chain are in `aru_acquisition_tax_allocation.csv` and `aru_2026_tax_rollforward.csv`.

The known environmental reserve and open injury claim remain separate. The claim has \$0.6M recorded accrual plus \$0.7M modeled additional possible adverse development; the seller indemnity covers development above the accrual. The additional \$0.7M is not silently booked as a second recorded liability.

Postclose schedules and legal books

The term-debt model uses 6.75%, ACT/365 interest, and \$375,000 quarterly principal on April 7, July 7 and October 7, 2026. The first modeled payment is April 7. A \$5M revolver remains undrawn and incurs a disclosed 0.25% undrawn commitment fee. The illustrative floating spread is not a claim about a current SOFR fixing. Retained finance leases have separately modeled principal, interest and ROU depreciation.

The 2026 ARU group forecast uses 2% external price growth, no external volume growth, 3% cash operating-cost inflation and no acquisition-driven FTE reduction. The owned reporting period starts January 7. \$11M catch-up capital and \$5.25M Taylor Phase 1 capital receive explicit parent equity. Additional liquidity equity maintains a \$2M cash floor; distributions of invented operating profit are not used to fund the programs. Ordinary sustaining capital remains separate.

The \$500,000 retention pool is expensed as service is provided, with \$250,000 paid July 7, 2026 and the second installment due January 7, 2027. Seller consulting is distinct: \$225,000 for nine months of knowledge transfer, with no postclose operating authority. Neither item is purchase consideration or goodwill.

The legal expense allocation assigns Seth Kettering's retention share to BS&T. Fred Tolman's consulting expense remains entirely at ARU corporate under the declared allocation policy. The model never applies a retention award percentage to the consulting budget. Shared depreciation, financing and balance ownership percentages are read from `legal_book_policy`; editing them changes the resulting legal books and reciprocal treasury accounts.

Separate closing legal-book views allocate ARU and BS&T-owned working capital, fixed assets, reserves and centrally paid costs using the explicit source policy. Contract revenues and employee payroll retain their segment owners. Reciprocal treasury current accounts disclose centralized funding, rather than disguising rail deficits as sales. Parent investment and subsidiary opening capital eliminate exactly. These allocation views are transparent synthetic books, not claimed independent bank statements or appraisals. Cash-flow statements are produced at ARU group level; the legal closing views must not be relabeled independently reconstructed statutory cash-flow statements.

Pale Sun and Red Wash also have separate closing books. \$1.5M of the original \$2.8M selected platform/site G&A is reclassified as a cost-based Pale Sun service fee; the remaining \$1.3M stays site G&A. The fee is paid monthly, recorded reciprocally, and eliminated. It adds no cost to the selected aggregate G&A. Pale Sun's investment and Red Wash's contributed capital eliminate separately from service revenue/expense.